



CUSTOMERS:

NMDC has followed diverse market approach and is present in both domestic as well as export market with the domestic sales gradually increasing to about 25 mT (87% of total sales) in 2007-08. In 2008-09, domestic sales were 85% and the export sales constituting 15% respectively of total sales.

NMDC is the preferred supplier of iron ore to most of the domestic steel producers with maximum iron ore requirement of 64 mTpa. The domestic customers are namely RINL, JSW Steel, Essar, Ispat, CG Units, and KIOCL.

NMDC's entire export is routed through MMTC in line with its policy with the main customers being Japanese steel mills (on LT contract); South Korean steel mills (on LT contract) and China (on spot basis). The range of quantity as per long term contracts (2006-07 to 2010-11) is 29.3-57.7 lakh wet metric tonne to Japan and 5.2 – 102 LWMT to South Korea.

THE FUTURE:

In order to meet increased demand, NMDC has plans to increase its production capacity to about 50 mTpa by 2014-15 comprising about 43 mTpa from the Bailadila sector and 7 mTpa from the Donimalai sector. To increase evacuation of iron ore from Bailadila, the following is being envisaged

- Commissioning of Uniflow system in collaboration with Railways
- Proposal to commission another slurry pipeline of 8 mTpa capacity either by NMDC or by some of the customers is under consideration
- This is expected to result in a total evacuation capacity of about 43 mTpa from the Bailadila sector as follows:
 - Existing rail capacity with Uniflow system
 - Essar slurry pipeline
 - Proposed slurry pipeline
 - By road

In Donimalai Sector, NMDC has 15% equity participation for development of railway line between Obulavaripalle and Krishnapatnam port. In addition, internal consumption of 5 mTpa iron ore is expected at the steel plant at Jagdalpur.

BACKWARD INTEGRATION:

NMDC has set up a Global Exploration Centre at Raipur in Chhattisgarh to provide services free of cost to State Governments in exploration activities. The first MOU has been signed with Jharkhand to carry out geological exploration in Jharkhand for various minerals like iron ore, lime stone, bauxite, etc.

NMDC is also expanding its drilling activities in the areas under its leases. It has formed a joint venture for exploration of iron ore in AP. It has also taking up global exploration work for iron ore in Brazil.

RESEARCH:

With its research unit located at Hyderabad to undertake in-house research work, the centre characterizes ore and develops process flow sheet for exploitation of minerals. All the operational mines were set up based on these R&D recommendations. The NMDC R&D centre has been named as a 'Centre of Excellence' by UNIDO.

The contributions by the centre which have made significant contribution to the industry are formation of nano crystalline iron powder from blue dust; discovery of high grade iron ore concentrate through beneficiation of BHJ, now a waste rock pilot plant for beneficiation of BHJ/BHQ of 3 lakh ton capacity is being set up at Donimalai in Karnataka; and the development of the demonstration plant for production of carbon free sponge iron powder (CFSIP) which has already been commissioned and commenced regular operations. NMDC R&D department has received 3 US patents.

CONTINUING WITH SOCIAL RESPONSIBILITY:

NMDC prides in its ability to withstand economic and socio-political disturbances by integrating with society. It has undertaken several projects for the same like integrated development of villages, covering villages with Integrated Medicare System, promoting education & training, promoting nutrition, working in areas beyond the periphery especially for disaster management shelter and establishing strong binding with surrounding villages to develop a popular standing.